In Economics, the term 'market' refers to a system of exchange between the buyers and the sellers of a commodity. Besides direct exchanges, there are exchanges that are carried out through correspondence, telephones, online, email etc. A market has the following characteristic features:

1. *Buyers and sellers of a commodity or a service*
2. *A commodity to be bought and sold*
3. *Price agreeable to buyer and seller*
4. *Direct or indirect exchange.*

5.3 Classification of Markets

Market is of various kinds. They are classified:

5.3.1 On the basis of Area:

The market is classified not only on its geographical spread, but also on the nature of the goods exchanged.

i. ***Local market*** arises when products or services are sold and bought in the place of their production. In such markets, the products exchanged are mostly perishable and semi-durable in nature: For example, Vegetable, fruits etc.

ii. ***Provincial market*** arises when products or services are sold and bought in a restricted circle. For example, provincial newspaper.

iii. ***National market*** arises when products and services are sold and bought throughout a country. For example, Nation-wide market for tea, coffee, cement, electrical goods, some printed books etc.

iv. ***International market*** arises when products and services are sold and bought at the world level. For example, petrol, gold etc.

5.3.2 On the basis of Time:

Alfred Marshall classifies market on the basis of time. The 'time' here refers to the nature of the factors, such as fixed factors and variable factors, used in the production process, and how the supply of the products meets with varying demand situations in the determination of price of the products.

i. ***Very short period market or Market Period***

It occurs when with the available time, the quantum supplied of a product cannot be increased (or decreased). Here, the supply curve is vertical; it is inelastic. In this market, the demand force is more active than the supply force in the determination of the price. For example, given an inelastic supply for food, an increase in its demand, as for example, during a flood situation, raises the price of food.

ii. ***Short period market***

It occurs when the quantum supplied of a product can be increased (or decreased) to some extent. Here, the supply curve is a little more elastic. In this period, some factors continue to be fixed and they work a little more intensively to meet an increased demand.

iii. ***Long period market***

It occurs when the quantum supplied of a product can be increased (or decreased) to a larger extent. Here the supply curve is very much elastic. Thus, to meet an increase in demand,

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